EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Pamplona was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is situated in the northwestern coast of the Province of Cagayan, with an area of 17,176 hectares.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Pamplona for CY 2025 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Pamplona, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	492,400,164.62	454,404,622.63	37,995,541.99
Liabilities	57,434,548.57	60,920,461.88	(3,485,913.31)
Government Equity	434,965,616.05	393,484,160.75	41,481,455.30
Financial Performance			
Income	188,941,423.43	162,032,469.53	26,908,953.90
Expense	161,991,617.10	151,420,645.66	10,570,971.44
Net Income	26,949,806.33	10,611,823.87	16,337,982.46

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount

Construction of Municipal Memorial Park (Phase 4)	₱3,984,231.32
Concreting of Pamplona Catholic Cemetery Road	598,778.77
Rehabilitation of Barangay Gymnasium - Allasitan	327,279.62
Rehabilitation of Barangay Evacuation Center - Balingit	328,417.51
Construction of Gym Extension - Capalian	328,294.08
Rehabilitation of Barangay Gymnasium - Gatu	326,875.65
Rehabilitation of Multi-Purpose Hall – Nagattatan	328,856.65
Concreting of Barangay Road – Zone 1 Tabba	328,792.32
Rehabilitation of Barangay Evacuation Center - Tupanna	328,060.74
Rehabilitation of BDRRM - Cabaggan	328,832.31
Rehabilitation of Barangay Gymnasium and Barangay Hall - Nagattatan	326,875.65
Early Warning System	1,599,800.00
Total	**₱9,135,094.62**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Pamplona, Cagayan for the year-ended December 31, 2025 because the existence, accuracy and reliability of the Receivables, Inventories, Property, Plant and Equipment and Liabilities accounts appearing in the financial statements totaling to ₱501,642,218.06 as at December 31, 2025, cannot be relied upon due to: a) Non-conduct of a complete inventory count, reconciliation and one-time cleansing of the PPE account; b) Inclusion of semi-expendable items which failed to meet the capitalization threshold as PPE; and c) Unrecorded expenses of issued inventories.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Payments of fuel, oil and lubricants amounting to ₱6,969,508.50 were made even though these expenditures were not incorporated in the duly approved Annual Procurement Plan (APP) for CY 2025, thus, may be disallowed in audit.

   We recommended the Management to:

   a. Enhance its procurement planning and budgeting processes to ensure that all recurring and foreseeable expenditures, including petroleum, oil, and lubricants, are properly estimated and incorporated in the Annual Procurement Plan (APP) prior to the start of each fiscal year.

   b. Ensure that no procurement activity is undertaken unless it is included in the approved APP or in a duly authorized supplemental APP, in

accordance with applicable procurement rules and regulations to avoid disallowance in audit.

2. Priority development projects funded under the 20% Development Fund totaling to ₱33,614,927.99 were not fully implemented as at December 31, 2025, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended the Management to:

   a. Conduct a comprehensive review of the 22 priority development projects to determine the specific causes of the low utilization rates and delay or non-implementation;

   b. Direct the Municipal Planning and Development Officer and the Municipal Engineer to prepare monitoring and evaluation mechanisms by requiring regular progress reporting and conducting periodic site inspections; and

   c. Coordinate with the concerned department to implement the various priority programs, projects, and activities with low utilization rate and ensure strict compliance with the provisions of DBM-DOF-DILG Joint Memorandum Circular No. 2020-01 to promote the efficient and timely utilization of the 20% Development Fund.

3. The existence and accuracy of the Real Property Tax Receivable and Special Education Tax Receivable accounts cannot be relied upon due to uncollected real property and special education taxes amounting to ₱5,172,852.45 and ₱5,172,862.45, respectively, thereby affecting the reliability and fair presentation of the accounts in the financial statements.

   We recommended that the Management:

   a. Conduct a proper verification and reconciliation of the Real Property Tax and Special Education Tax Receivables of the Municipal Assessor's Office and Municipal Accounting Office to show a reliable balance; and

   b. Prepare the necessary entries to record the adjustment of the balances, if warranted.

4. The reliability, completeness and existence of Due from Local Government Unit (LGU) account amounting to ₱2,988,431.11 cannot be relied upon due to unliquidated fund transfer and Municipality funded projects to its Barangay totaling to ₱2,772,000.00, thus, affecting the fair presentation of the account presented in the financial statements.

We recommended the Municipal Accountant to issue demand letters on the concerned barangay officials to comply and submit immediately the liquidation documents for the completed projects so that the necessary adjusting entries to account for the liquidation of the projects can be made and effected.

G. Summary of Total Suspensions, Disallowances, and Charges as at December 31, 2025

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	**-**	**-**	**-**	-	-
Current Year	**-**	**-**	**-**	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the twenty-six (26) audit recommendations in the CY 2024 Annual Audit Report, fourteen (14), were implemented and twelve (12), were not implemented.